Chapter 2:

Principles of Management

Meaning: " principles of management act as general guidelines for the managers which helps them in performing task effectively and taking decisions during challenging situations efficiently "

Question 1 : **Characteristics or Features of principles of management**

1. Universal application : they apply to all types and various sizes of organisation
2. General guidelines : they are not ready-made solution, but general guidelines that managers follow to take important decisions.
3. Formed by practice and experimentation: These principles are not formed overnight, but are developed through detailed observation and experimentation over a long period of time.
4. Flexible : principles of management are flexible and can be changed or modified as per the need and situation.
5. Mainly behavioural : the main focus of these principles is to bring in behavioural changes in the management as well as employees to achieve organisational goals.

6. Cause and effect relationship : these principles are based on cause and effect relationship and explains us that if we act in a certain way in a particular situation, what might be the outcome of the said action.

7. Contingent : principles of management are situational in nature and their result may vary as per the change in situation.

Question 2 : **Importance/significance of principles of management** (POEMSS)

1. Providing managers with useful insights into reality : principles of management improves the ability of the managers to understand different situations and helps the managers in understanding how to tackle the situations in real life.

2. Optimum utilisation of resources and effective administration : principles of management results in optimum use of resources as well as effective administration as it increases the effectiveness and efficiency of the managers as well as the workers

3. Scientific decisions : these principles emphasise on taking scientific decisions rather than using hit and trial method or guess work by the managers.

4. Meeting the changing environmental requirements : principles of management helps the managers to change and adapt themselves as per the changing business environment needs

5. Fulfilling social responsibility : principles of management also focus on fulfilling their social responsibility by adopting various principles, such as remuneration of employees, equity, etc.

6. Management training, education, and research : these principles are used by various institutes to help increase the knowledge of students, pursuing management, courses and act as a basis for management training and research

Question 3 : **History of Henri Fayol:**

- Henri Fayol (1841-1925) was a French mining engineer, theorist, and industrialist who contributed to management theory.
- He was born in Istanbul and turned a fail mining company into a thriving enterprise by using his management theories
- He developed the 14 principles of management, also known as general management
- Henri Fayol was known as the 'father of general management principles' or the 'father of management studies and thoughts'



Question 4 : **14 principles of management by Henri Fayol:** (CID - USE - USER - SODA)

1. Division of work: according to this principle, the total work is divided into smaller task and then allocated to different employees based on their capability and expertise. This ensures that none of the employees are overburden with work and also helps in increasing efficiency and avoiding duplication of work. It also leads to specialisation.

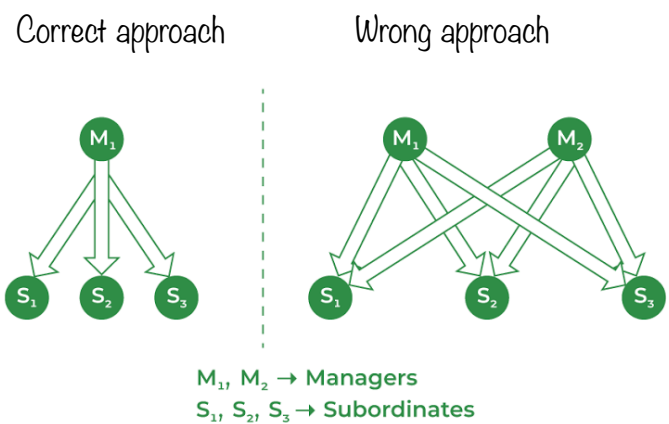


2. Authority and Responsibility: authority means the power to make decisions and responsibility means the obligation to complete the task on time. As per this principle,there should be balance between authority and responsibility so that misuse of authority and delay in work can be avoided.



3. Discipline: this principle focuses on obedience of rules and regulations and employment agreements, which are important for the systematic working of an organisation. It requires good superior at all levels, clear and fair agreements and judicious application of penalties.

4. Unity of command: this principle emphasises on 'one person, one boss' and states that a subordinate should have only one superior and receive orders and instructions from one superior only



5. Unity of direction: according to this principle 'one unit, one plan' should we followed, and everyone in the department should work towards the same organisational goals and objectives.



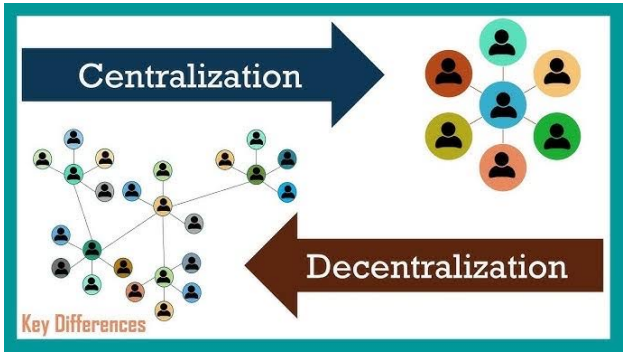
6. Subordination of individual interest to general interest: this principle states that an employee should always give priority to the interest or benefit of overall organisation rather than their own interest or benefit



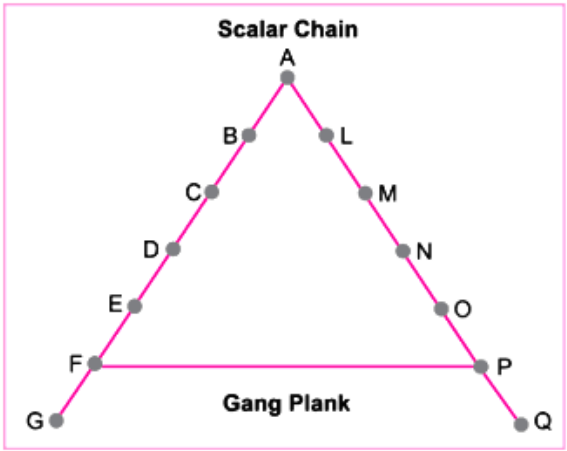
7. Remuneration of employees: according to this principle, the employees of an organisation should receive fair compensation based on the financial condition of the company, minimum wages act and the remuneration paid by the competitors



8. Centralisation and Decentralisation:
centralisation means concentration of decision-making authority in the hands of few whereas decentralisation means systematic distribution of authority till the lowest level of management. Henri Fayol advocated that large organisation might adopt the decentralisation for quickdecision making.



9. Scalar Chain : scalar chain means a chain of command that people in an organisation should follow while communicating with each other. The flow of communication should be from highest level to the lowest level and vice versa. In case of emergencies. Employees can follow a shortcut known as 'gang plank'



10. Order : according to this principle, there must be a place for everything and everyone in an organisation and everyone and everything should be in its fixed place to avoid wastage of time in searching them.



11. Equity : this principle focuses on fair and just treatment for all and emphasises that manager should not be biased towards the employees on the basis of caste, religion, gender etc.



12. Stability of personnel : this principle focuses on job security for the employees and suggest that frequent transfer and termination of employee should be avoided.



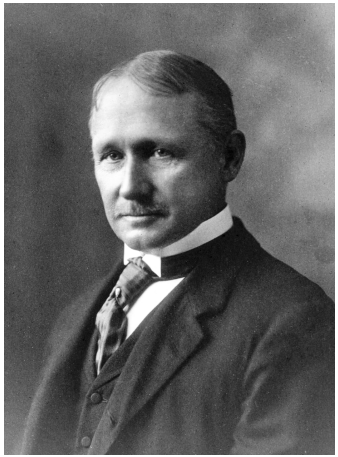
13. Initiative : principle of initiative, states that workers should be allowed and encouraged to take initiative whenever it is possible.



14. Esprit De Corps : it means 'teamwork', and emphasises that management should promote teamwork and unity within the organisation and should replace 'I' with 'WE'



Question 4 : **History of F. W. Taylor :**



- Frederick Winslow Taylor (1856-1915) what is the mechanical engineer and management from United States
- He was known as a 'father of scientific management' for his contribution and significant impact on management and industrial engineering
- He was the 1st to use scientific approach for managing a business rather than hit or miss method

Question 5 : **Meaning of scientific management :**

It refers to application of scientific methods to management problems and knowing exactly what you want your employees to do, and ensuring that they do it in an effectively and cost efficiently as possible.

Question 6 : **Principles of scientific management : (Dad Has Six Cars)**

1. Science not a rule of thumb : this principle states that managers must make scientific decisions after proper analysis and research rather than using the rule of thumb or hit and miss method

2. Harmony, not discord : Taylor emphasise that both workers and management should work in harmony and should share the gains with each other.



3. Cooperation, not individualism : it is an extension to the principle of harmony, not discord, and emphasises that management should set goals in targets with consultation from the workers and after taking them into complete confidence

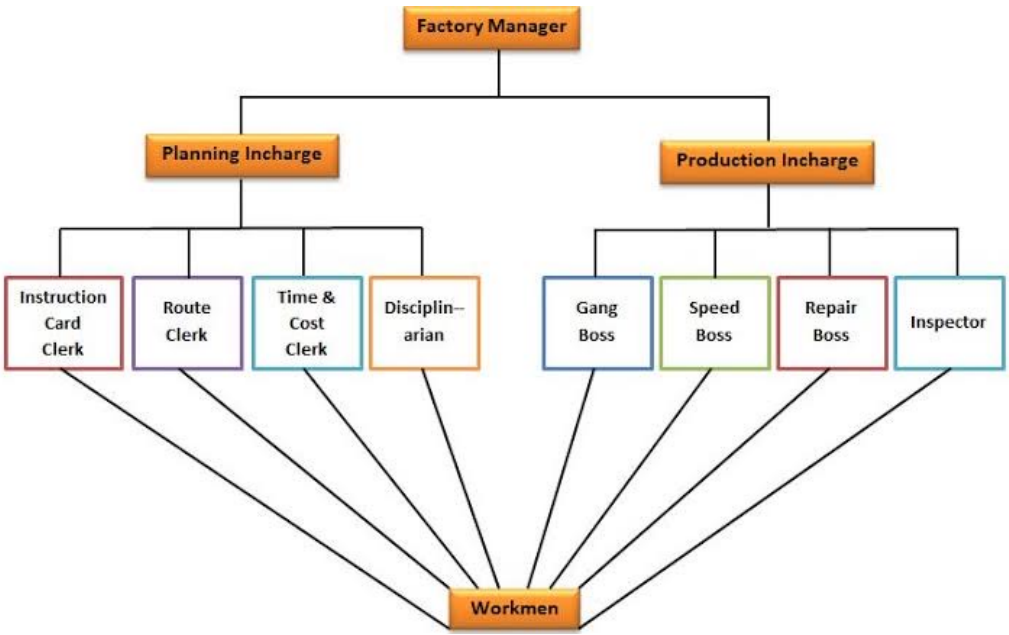


4. Development of each and every person to his or her greatest efficiency and prosperity : this principle states that all the employees in an organisation should be trained and the selection should be done only after scientific evaluation



Question 7 : **Techniques of scientific management : (My Sweet Simple Mother and Father Taught Taylor's Different Functions)**

1. Functional Foremanship : under this technique, Taylor suggested that there should be total 8 foremen out of which four should be in the planning department and four in the production department.



2. Standardisation and Simplication : standardisation means fixing standards and maintaining homogeneity across all the products that are produced by the company.
Simplification means eliminating unnecessary variety of goods which helps in reducing the cost and increasing the overall profitability of the organisation

3. Work Study : this study ensures maximum efficiency at the workplace by adopting the following techniques:

A. Method Study : it focuses on finding one best method to do a job by evaluating all the options or alternatives that are available.

B. Motion Study : under the study, motions are divided into three categories that is productive, unproductive and incidental. Taylor emphasised on removing unproductive motions and increasing their efficiency. He proved this with an experiment of brick layering with his



C. Time Study : this study was done to determine:

- Standard Time required to do a job
- Setting up target for the workers
- Determining how many workers will be required to do a job?
- Differentiating between efficient and inefficient workers



D. Fatigue Study : the study was done to determine the number duration and frequency of rest intervals needed to complete a task.



4. Differential piece wage system : Taylor emphasise that efficient and inefficient workers should be differentiated and different wages should be paid to both. In this technique, he emphasised on setting higher wages for efficient workers and lower wages for inefficient workers who cannot



5. Mental Revolution : under this technique, Taylor emphasised that both workers and management should change their attitude towards each other and work in complete harmony and Cooperation

